CAMS Exam Preparation

Domain A: Risks & Methods of Financial Crime (100 Study Slides)

Based on CAMS Candidate Handbook & Candidate Feedback

Domain A: 30% of CAMS Exam — 100 Key Concepts & Explanations

A.1.1: Money Laundering vs. Terrorist Financing

Key Distinction (Heavily Tested)

- **Money Laundering**: Conceals **illicit origin** of proceeds; always involves dirty money from predicate crimes.
- **Terrorist Financing**: Funds may be **legitimate** (donations, salary); concealment objective is **intended use** for violence, not origin.

CRITICAL: Standard AML controls focused on suspicious **origins** may fail to detect TF involving **clean-source funds**.

A.1.2: FATF Recommendation 3 - Predicate Offenses

Key Requirements

- FATF recommends the **"all-crimes approach"** - applies to proceeds from **all serious criminal acts**.
- **Self-laundering IS criminalized** - predicate offender can also be charged with money laundering.
- 6AMLD harmonizes **22 predicate offenses** across EU.

Example: Drug trafficker who processes own proceeds through a car wash business → can be charged with BOTH drug trafficking AND money laundering.

A.1.3: 6AMLD - Corporate Criminal Liability

EU Sixth Anti-Money Laundering Directive (6AMLD)

- **Harmonizes 22 predicate offenses** across all EU member states (binding).
- **Introduces criminal liability for legal persons (corporations)** - not just fines.
- Corporation can be prosecuted and subject to: fines, debarment, dissolution.
- Does NOT require conviction of individual directors first.

TIP: Know the difference from 5AMLD (5AMLD added VASPs and lowered prepaid card thresholds).

A.1.4: Consequences of Money Laundering

Economic Consequences

- Distorts markets and asset prices
- Undermines legitimate private sector
- Loss of tax revenue
- Reputational damage
- Misallocation of resources

Social Consequences

- Funds criminal enterprises
- Corruption of public officials
- Erodes rule of law
- Fuels violence and terrorism
- Increases poverty

A.1.5: Consequences of Indiscriminate De-Risking

De-Risking Definition

Termination of entire categories of customer relationships without individual risk assessment.

Negative Consequences:

- Legitimate businesses lose access to global financial system.
- Drives transactions into **unregulated, informal channels**.
- Harms financial inclusion and developing economies.
- Contradicts the mandatory **risk-based approach**.

A.1.6: Self-Laundering and Double Jeopardy (U.S. Law)

Self-Laundering (18 U.S.C. $1956)

- U.S. law **DOES** criminalize self-laundering.
- Predicate offender CAN be charged with money laundering for processing own proceeds.
- **Double jeopardy argument fails** - each offense requires proof of different elements.

Example: Wire fraud + money laundering = TWO separate crimes.

A.1.7: FATF Recommendation 5 - Terrorist Financing Offense

TF Offense Requirements

- Criminalize TF regardless of whether funds actually used for terrorist act.
- **No minimum monetary threshold** (even $1 is enough).
- Collection of funds for terrorist purposes is sufficient.
- Standalone offense (not just covered under ML).

Deficiency: $10,000 threshold for TF violates Recommendation 5.

A.2.1: The Three Stages of Money Laundering

Three Stages

1. **Placement**: Introducing illicit funds into the financial system.
2. **Layering**: Conducting complex transactions to obscure the audit trail.
3. **Integration**: Making laundered funds appear legitimate through investments.

Example: Cash deposits $\rightarrow$ wire transfers $\rightarrow$ real estate purchase.

A.2.2: Placement Techniques

Common Placement Methods

- Structured cash deposits (smurfing) below CTR thresholds
- Currency smuggling
- Purchasing assets with cash
- Using currency exchanges or MSBs
- Gambling at casinos
- Commingling with legitimate business revenues

Placement is the riskiest stage for criminals.

A.2.3: Structuring / Smurfing

Structuring Definition

Deliberately breaking cash deposits into amounts below reporting thresholds to evade CTR requirements.

Red flags:

- Multiple deposits just below $10,000 ($9,500-$9,900)
- Deposits from multiple individuals to same account
- Geographic dispersion of deposits

Structuring is a federal crime independent of the underlying source of funds.

A.2.4: Layering Techniques

Layering Methods

- Wire transfers through multiple accounts and jurisdictions
- Use of shell companies and trusts
- Trade-based money laundering
- Cryptocurrency mixing and privacy coin conversion
- Use of professional intermediaries

Purpose: Create distance between funds and criminal source.

A.2.5: Integration Techniques

Integration Methods

- Purchase of real estate or luxury assets
- Investment in legitimate businesses
- False loan repayments
- Commingling with legitimate business revenues
- Sale of assets purchased with laundered funds

Purpose: Funds re-enter economy as legitimate-appearing wealth.

A.3.1: Over-Invoicing (TBML Technique)

Over-Invoicing Mechanism

- Exporter inflates invoice price above market value.
- Importer pays inflated amount, transferring excess value to exporter.

Red flag: Price significantly above market (e.g., $1,200 vs $180). Criminal purpose: Move funds from importer to exporter disguised as trade.

A.3.2: Under-Invoicing (TBML Technique)

Under-Invoicing Mechanism

- Exporter deflates invoice price below market value.
- Importer pays lower amount but sells goods at market price.
- Importer retains surplus as "clean" funds.

Red flag: Price significantly below market. Criminal purpose: Move value from exporter to importer.

A.3.3: Phantom Shipping

Phantom Shipping Mechanism

- No actual goods are ever shipped.
- Complete fabricated documentation.
- Funds transferred based on false paperwork.

Detection indicators:

- Empty containers discovered upon inspection.
- Shipper has no manufacturing capability.
- Altered bills of lading.

A.3.4: Free Trade Zone (FTZ) Vulnerabilities

Why FTZs are High Risk

- Relaxed regulatory oversight
- Minimal customs documentation inspections
- High volume of re-exported goods
- Opportunity for mislabeling cargo
- Phantom shipments

Red flags: Uniform invoice values, empty containers, altered bills of lading.

A.3.5: Additional TBML Techniques

Multiple Invoicing and Short/Over-Shipping

Multiple Invoicing:

- Same goods invoiced multiple times through different banks

Short-shipping / Over-shipping:

- Discrepancy between invoice quantity and actual shipped goods

Red flag: Multiple L/C amendments without logical explanation.

A.4.1: BMPE Mechanism - Complete Explanation

Black Market Peso Exchange Steps

1. Narco-dollars deposited in U.S. accounts (structured below $10k).
2. Colombian peso broker buys dollars at discount (20-30% off).
3. Broker uses dollars to pay U.S. invoices for Colombian merchants.
4. Colombian merchant repays broker in pesos at favorable rate.
5. **No cross-border currency movement** after initial deposit.

Key insight: Uses drug dollars to pay legitimate commercial invoices.

A.4.2: BMPE Detection Red Flags

Red Flags for BMPE

- Structured cash deposits from multiple individuals.
- U.S. importer receiving payments from unrelated individuals.
- Foreign wholesaler receiving goods at below-market prices.
- No direct wire transfers between source and destination.
- Broker acting as intermediary with no apparent business purpose.

Detection challenge: No cross-border movement; appears as domestic trade.

A.5.1: Nested Correspondent Accounts

Nested Correspondent Accounts - Critical Risk

When a respondent bank allows third parties to route transactions through the correspondent account **without disclosure**:

- Correspondent bank loses visibility into true originators/beneficiaries.
- Increased risk of processing for sanctioned entities.
- Violates core correspondent banking due diligence.

Required actions: Immediate RFI, SAR filing, reassess relationship.

A.5.2: Payable-Through Accounts (PTAs)

PTA Obligations (U.S. Regulations)

- Correspondent bank MUST apply CDD directly to underlying PTA accountholders.
- Must maintain records identifying each PTA accountholder.
- **Cannot rely solely on respondent bank's CDD.**

Red flag: Multiple sub-$10,000 wires to same shell company.

A.5.3: Shell Bank Prohibition (Section 313)

Section 313 - Shell Bank Definition

A "shell bank" has:

- NO physical presence in any country
- NOT affiliated with a regulated financial institution

U.S. banks absolutely prohibited from maintaining correspondent accounts for foreign shell banks.

A.5.4: Reverse Correspondent Banking Risks

Reverse Correspondent Banking

Small bank providing account to larger international bank.

Risks:

- Small bank may be used as blind gateway.
- Small bank struggles with due diligence on complex structures.
- Creates moral hazard.

A.6.1: FATF Travel Rule for VASPs

Virtual Asset Travel Rule (Recommendation 16)

Required information for transfers above USD/EUR 1,000:

- Originator: name, account/wallet address
- Originator: address, ID number, or DOB (at least ONE)
- Beneficiary: name and account/wallet address

Receiving VASP obligations: Must obtain info; if not provided → follow up, delay, apply EDD.

A.6.2: DeFi and AML Responsibility

FATF DeFi Guidance

If a person/entity maintains **control or sufficient influence** over a DeFi protocol:

- Through governance token majority (¿50%)
- Ability to upgrade contract code
- Ongoing management or control

They may be considered a VASP subject to AML obligations.

A.6.3: Privacy Coins (Monero, Zcash) Risk Features

Anonymity-Enhanced Cryptocurrencies

Monero (XMR):

- Ring signatures - obscures which input is real
- Stealth addresses - one-time addresses per transaction

Zcash (ZEC):

- Zero-knowledge proofs (zk-SNARKs)
- Shielded transactions hide all details

A.6.4: Crypto Mixers and Tumblers

Mixing/Tumbling Process

1. Customer sends crypto to mixing service.
2. Mixer pools funds from many users.
3. Mixer redistributes to new wallets controlled by customer.
4. Original source becomes obscured.

Red flags: Use of mixer without legitimate explanation, refusal to explain source.

A.6.5: NFT Wash Trading

NFT Wash Trading Typology

1. Self-controlled wallets buy/sell same NFTs among themselves.
2. Prices artificially escalate through circular transactions.
3. Creates fraudulent market record.
4. Sells NFT to unwitting third party at inflated price.
5. Converts to fiat as "capital gain."

Exchange obligation: File SAR based on wash trading pattern.

A.6.6: Stablecoin Money Laundering Risks

Stablecoin Vulnerabilities

- Pegged to fiat currency - price stability facilitates value storage.
- Rapid cross-border transfers without banking intermediaries.
- Some issuers have weak or no CDD controls.
- Can be redeemed for fiat at any time.

Risk: Cross-border value movement without traditional oversight.

A.6.7: Custodial vs. Non-Custodial Wallets

AML Obligations by Wallet Type

Custodial wallets:

- VASP has full CDD obligations
- VASP controls funds and can monitor transactions

Non-custodial wallets:

- VASP's CDD ability is limited
- Cannot verify off-platform transactions
- Higher inherent AML risk

A.6.8: Cross-Chain Bridges and Layering

Cross-Chain Bridge Exploitation

- Criminal converts assets to token on privacy blockchain using bridge.
- Privacy blockchain obscures transaction trail.
- After mixing, funds bridged back as different asset.
- Transactional link to original source is severed.

Detection: On-chain analysis can identify bridge usage patterns.

A.7.1: PEP Definition - Complete List

Who Qualifies as PEP (FATF Definition)

Individuals with prominent public functions:

- Heads of state or government
- Senior politicians and cabinet ministers
- Senior judicial officials
- Senior military officials
- Senior executives of state-owned enterprises
- Leaders of political parties

Family members and close associates are also treated as PEPs.

A.7.2: PEP Family Members and Close Associates

Family Member Definition

Treated as PEPs even without government positions:

- Spouse or civil partner
- Children (including adult children)
- Parents
- Siblings

Close associates:

- Close business or personal relationship to PEP
- Beneficial owners of entities for PEP's benefit

Example: Adult daughter of foreign minister IS a PEP requiring EDD.

A.7.3: PEP Lifecycle - Mid-Relationship Designation Change

When a Customer Becomes a PEP

- **Immediate reclassification to HIGH risk**
- Mandatory EDD applied within days
- Re-establish source of wealth AND source of funds
- Senior management approval to continue
- Back-dated gap period is control failure

Example: Customer elected to foreign cabinet $\rightarrow$ re-rate immediately.

A.7.4: Source of Wealth vs. Source of Funds

Critical Distinction (Heavily Tested)

- **Source of Funds (SoF)**: Specific transaction being deposited (sale contract, inheritance).
- **Source of Wealth (SoW)**: How PEP accumulated overall net worth (career, business, inheritance).

EDD for PEPs requires BOTH. Civil servant with $4.5M apartment: SoF insufficient without SoW.

A.7.5: Former PEP - Grace Period and Risk Assessment

PEP Status After Retirement

- Maintain for **"reasonable period"** (minimum 12 months)
- **Risk-based decision** considering:
  - Country corruption risk
  - Continued access to influence
  - Time elapsed since leaving office
  - Account activity pattern
- 5 years clean activity MAY justify lowering risk
- **Decision must be documented**

A.7.6: Domestic vs. Foreign PEPs - Differences

Classification Differences

Foreign PEP:

- Always requires EDD and senior approval
- Higher inherent risk
- Must establish SoW and SoF

Domestic PEP:

- May require EDD depending on jurisdiction
- Potentially less intensive
- Still requires enhanced scrutiny

A.7.7: EDD - Required Actions for PEPs

Enhanced Due Diligence Requirements

- Establish SoW and SoF through verifiable documentation
- Obtain senior management approval
- Increased transaction monitoring frequency
- Review all significant transactions
- Identify UBO of any legal entity or trust
- Document all findings
- Reassess risk annually or upon triggers

A.8.1: Life Insurance CDD Triggers

When CDD Applies to Life Insurance

- Annual premium exceeds USD/EUR 10,000
- Single premium exceeds USD/EUR 10,000
- Any suspicious transaction

Who must be identified:

- Policyholder
- Beneficiary (once designated)
- For legal entities: beneficial owners

Beneficiary CDD applies even if designated after policy issuance.

A.8.2: Life Insurance ML Exploitation Methods

How Insurance Features Are Exploited

Policy loan as layering:

- Purchase policy with criminal proceeds
- Take policy loan for 90% of cash value
- Loan proceeds are "legitimate" check

Cash surrender extraction:

- After brief holding period
- Surrender policy, receive check minus penalty
- Penalty is "laundering fee"

A.8.3: Life Insurance AML Red Flags

Life Insurance ML Indicators

- Premium from offshore shell company
- Premium from secrecy haven jurisdiction
- Early surrender with proceeds to different account
- Policyholder is foreign PEP; beneficiary is shell company
- Large premium relative to legitimate income
- Premiums from multiple unrelated third parties

A.9.1: MSB Registration Triggers (U.S. FinCEN)

Who Must Register as an MSB

- Check casher: cashing ¿ $1,000/person/day
- Money transmitter: any volume
- Currency dealer or exchanger
- Issuer or seller of prepaid access
- Traveler's check issuer

Grocery store cashing checks ¿ $1,000/day without registration = BSA violation.

A.9.2: MSB Principal Responsibility for Agents

Agent Network Compliance

- MSB principal is **fully responsible** for agent compliance
- Must monitor agent transaction activity
- Unexplained volume spikes require investigation
- May need to file SAR on agent location
- Terminate agent if compliance cannot be ensured

Red flag: Agent processes 5,000% above historical average.

A.9.3: Unregistered MSB Operation

Violations of Unregistered Check Casher

Convenience store cashing checks, "No ID Required":

- Registration violation: ¿ $1,000/person/day
- CTR violation: no filings over $10,000
- SAR violation: no filings for suspicious patterns
- "No ID Required" violates CIP/CDD

A.9.4: Prepaid Access Programs - AML Obligations

Prepaid Access Requirements

- Issuer is considered an MSB
- Must register with FinCEN
- Must implement risk-based AML program
- CDD on cardholders exceeding thresholds
- Monitor reload activity for structuring
- File CTRs and SARs as required

Not exempt: Prepaid cards are monetary instruments under BSA.

A.9.5: Prepaid Cards - Structuring and Border Evasion

Prepaid Card Abuse Example

Traveler with 50 prepaid cards each loaded with $9,500 (total $475,000):

- **Structuring violation**: Each card just below $10,000
- **Currency reporting evasion**: Cards are monetary instruments
- **Layering**: Purchased at multiple locations
- **Destination risk**: Flying to heightened scrutiny jurisdiction

A.10.1: Human Trafficking - Controller Account Pattern

Trafficking Red Flags (Heavily Tested)

- Multiple individuals sending small payments to single controller account
- Controller pays utilities for multiple residential addresses
- Weekly cash withdrawal of 85-95% of balance
- No employment contracts or payroll records
- Victims share same surname as controller

Trafficking vs. Smuggling: Trafficking = ongoing exploitation; Smuggling = one-time fee.

A.10.2: Human Trafficking - Massage Parlor / Nail Salon Network

Service Business Trafficking Indicators

- Multiple small electronic payments ($50-$150) from dozens of individuals daily
- Funds transferred to central LLC holding commercial properties
- Properties operate as massage parlors or nail salons
- LLC pays mortgages and utilities
- Operators have no verifiable income other than deposits

Pattern: Human trafficking for commercial sexual exploitation.

A.11.1: Casino AML Obligations (U.S. BSA)

Casino Reporting Requirements

Casinos with revenue ¿ $1 million must:

- File CTRs for cash ¿ $10,000 in a gaming day
- File SARs for suspicious patterns ¿ $5,000
- Conduct CDD at $3,000 chip purchase (FATF Rec. 12)
- Maintain AML compliance program
- Verify customer identity at threshold

A.11.2: Chip Washing Scheme (Casino)

Chip Washing Pattern

- Large cash chip purchase (e.g., $300,000) - triggers CTR
- **Minimal gaming** (e.g., 45 minutes, $1,500 wagered)
- Cash out remaining chips for casino check
- Accepts small "gaming loss" as laundering fee

Obligations: File CTR AND file SAR.

A.11.3: Online Gaming Money Laundering

In-Game Currency Laundering Stages

1. **Placement**: Purchase in-game currency with criminal cash via prepaid cards
2. **Layering**: Distribute across multiple gamer accounts
3. **Integration**: Sell currency peer-to-peer for PayPal or bank transfer

Difficulty: Small transactions fall below reporting thresholds.

A.12.1: FinCEN Geographic Targeting Orders (GTOs)

GTO Requirements - Real Estate

- Title companies must identify natural persons behind legal entities
- All-cash purchases above threshold (typically $300,000)
- Targets specific metro areas (Miami, LA, NYC, etc.)
- **Temporary orders**, renewed periodically

Red flags: Recently formed LLC, IOLTA wire, registered agent refuses UBO disclosure.

A.12.2: Real Estate as Integration Vehicle

Example Integration Scheme

1. **Placement**: Structured cash deposits below $10,000
2. **Layering**: Funds into anonymous LLC
3. **Layering/Integration**: LLC purchases property with cash
4. **Integration**: Property generates rental income reported on taxes
5. **Integration**: Property sold, proceeds deposited as legitimate

Red flags: Rapid appreciation, original anonymous purchase.

A.13.1: IOLTA Account Vulnerabilities

Why Lawyer Trust Accounts Are Dangerous

- Banks rely on attorney's professional status
- Do NOT look through pooled accounts
- Illicit funds enter credentialed by attorney status
- Multiple client funds commingled
- Rapid disbursement possible

Red flags: Wire from shell company, disproportionate retainer, no face-to-face contact.

A.13.2: Trust and Company Service Provider (TCSP) Risks

TCSP AML Obligations (FATF Rec. 23)

TCSPs must:

- Conduct CDD when forming legal persons
- Identify beneficial owners
- Maintain records for 5+ years
- File SARs when suspicious

Red flags: Creates shell companies, nominee director, no physical office, refuses UBO disclosure.

A.14.1: Trust Beneficial Ownership - Who to Identify

Trust CDD Requirements (FATF Rec. 25)

Must identify and verify:

- **Settlor**: Person who creates trust
- **Trustee**: Person/entity managing trust
- **Protector**: If has veto or replacement rights
- **Beneficiaries**: To extent determinable

Protector with veto qualifies as PEP if former head of state.

A.14.2: Bearer Shares - Highest Vulnerability

Bearer Shares Risk

- Transferred by physical delivery of certificate
- **NO public registry record** of ownership
- Ownership can be transferred anonymously
- FATF Rec. 24: prohibit or require immobilization

Bank obligations:

- Verify custodian can identify holder
- Still need to identify UBO
- Decline account if custodian refuses disclosure

A.15.1: SAR Filing Standard - Reasonable Suspicion

When to File a SAR

- Standard = **reasonable suspicion**
- **No requirement for conclusive proof**
- File **immediately upon suspicion**
- Required regardless of transaction value
- Failure to file = regulatory risk
- BSA Officer can face personal liability

"Evidence not conclusive" is NOT a valid reason to decline filing.

A.15.2: Tipping-Off - Prohibited vs. Permissible Disclosures

Tipping-Off Prohibitions

Prohibited (criminal penalties):

- Telling customer a SAR was filed
- Disclosing compliance is "reviewing transactions"
- Disclosing investigation to third parties
- Publicly announcing customer under investigation

Permissible:

- Internal sharing with legal department
- 314(b) sharing with other opted-in institutions
- Responding to law enforcement subpoena

A.15.3: Law Enforcement "Keep Open" Requests

Protocol for Keep Open Requests

1. Obtain request **IN WRITING** from law enforcement
2. Document thoroughly
3. Obtain senior management approval
4. Maintain heightened monitoring
5. Do NOT disclose to customer

Do NOT: Publicly announce, ignore request, close account without coordination.

A.16.1: NPO Terrorist Financing Red Flags

FATF Recommendation 8 - NPO Vulnerabilities

Vulnerabilities:

- Operate in conflict zones with weak monitoring
- Receive large cash donations with limited scrutiny
- Can receive funds from Grey/Black List jurisdictions

Red flags requiring SAR:

- Large donation from Grey List jurisdiction
- Rapid cash withdrawal (80%+ within 48 hours)
- Cash withdrawal far from headquarters
- Transfers to conflict zone sub-NPOs where terrorists control aid
- No documentation matching cash withdrawals to mission

A.17.1: Layered Sovereign Corruption Extraction

Sovereign Corruption Scheme Analysis

Scheme: State-owned oil company signs "service agreements" with BVI shell company. BVI-Co receives \$220M. Funds split: \$150M to Cayman trust (PEP's son beneficiary), \$70M to London real estate.

Obligations:

- Immediate escalation to senior management
- Emergency EDD review
- Assess if transactions constitute corruption proceeds
- File STR if reasonable suspicion exists
- Cannot close account without approval
- Ensure no tipping-off

A.17.2: Cross-Border Cash Courier Controls

FATF Recommendation 32 - Cash Courier

Deficiencies:

- No declaration system for cross-border currency
- Cash couriers intercepted with $500,000+ but no penalties

Required controls:

- Declaration OR disclosure system at borders
- Authority to stop, restrain, question couriers
- Sanctions for false declarations

A.17.3: Money Mule Network (P2P Platform)

P2P Lending Platform Exploitation

Pattern:

- 17 accounts registered within 48-hour window, same VPN
- Each received small loans from single institutional lender
- All repaid within 3 days using offshore wires
- After repayment, withdrew to prepaid debit cards
- Institutional lender is anonymous LLC

Typology: Self-funding layering ring.

A.17.4: FATF Recommendation 24 - Legal Person Transparency

Beneficial Ownership Registry Requirements

Deficiencies:

- BO registry not accessible to FIs without court order
- Law enforcement access requires court order
- No requirement to update BO information

Required:

- Adequate, accurate, CURRENT BO information
- Accessible to competent authorities in timely manner
- Mechanisms to ensure accuracy and updates

A.17.5: FATF Recommendation 30 - Financial Investigations

Financial Investigation Deficiencies

Problem:

- LE cannot obtain financial records directly from banks
- All requests go through prosecutor (6-12 months)
- Assets moved before records obtained

Required:

- Power to obtain records expeditiously (days, not months)
- Ability to identify, trace, freeze assets
- Parallel financial investigations

A.17.6: FATF Immediate Outcome 5 - Preventive Measures

IO.5 Assessment

Deficiencies:

- No beneficial ownership registry
- No requirement for companies to identify UBOs
- No requirement to update BO information

Impact:

- FIs cannot verify UBO information
- Undermines preventive measures
- Information quickly outdated

A.17.7: FATF Immediate Outcome 2 - International Cooperation

IO.2 Assessment

Deficiencies:

- Never submitted or responded to MLAT request
- No designated central authority for MLAT processing

Why deficient:

- MLATs are primary mechanism for obtaining evidence
- Egmont exchanges CANNOT replace MLATs
- Absence of central authority creates delays

A.17.8: FATF Recommendation 34 - Guidance and Feedback

Recommendation 34

Deficiency: No AML/CFT guidance issued to FIs; no feedback on STR quality. **Required:**

- Guidance and feedback to assist FIs
- Red flag indicators, typologies, emerging trends
- Feedback on STR quality

This is NOT optional - Rec. 34 is a standard, not a best practice.

A.17.9: FATF Recommendation 14 - MVTS / Hawala

Money or Value Transfer Services Regulation

Deficiency: Unlicensed hawala operators; government chose not to regulate. **Required (Rec. 14):**

- All MVTS providers MUST be licensed or registered
- Subject to AML/CFT monitoring
- Unlicensed providers subject to sanctions
- **No cultural heritage exemption** for hawala

A.17.10: FATF Recommendation 26 - Supervision of FIs

Supervisory Deficiencies

Findings:

- On-site exams every 5 years for ALL banks (same frequency)
- No off-site monitoring or thematic reviews
- No penalties issued in 10 years

Required:

- Risk-based approach to exam frequency
- On-site AND off-site monitoring
- Sanctions must be imposed for violations

Domain A Summary: Top 20 Most Tested Concepts

1. **ML vs. TF distinction**
2. **Three stages**: Placement, Layering, Integration
3. **TBML techniques**: Over/under-invoicing, phantom shipping
4. **BMPE**: Uses drug dollars to pay legitimate invoices
5. **Nested correspondent accounts**: Loss of visibility
6. **Shell banks**: No physical presence; prohibited
7. **PEPs**: Family members included; SoW AND SoF required
8. **6AMLD**: 22 predicate offenses; corporate liability
9. **Travel Rule for VASPs**: Receiving VASP has obligations
10. **DeFi**: Control or influence = VASP obligations
11. **Privacy coins**: Ring signatures, stealth addresses
12. **NFT wash trading**: Circular self-dealing
13. **Human trafficking**: Multiple individuals to one controller
14. **Chip washing**: Large buy-in, minimal gaming
15. **IOLTA vulnerabilities**: Banks don't look through
16. **Bearer shares**: Transfer by physical delivery
17. **SAR filing standard**: Reasonable suspicion

Critical Red Flags - Quick Reference

- **Structuring:** \$9,000-\$9,800 repeated deposits
- **PEP:** Minister's daughter, "consulting fees," refuses SoW docs
- **TBML:** Price 400% above/below market, shell company exporter
- **Human Trafficking:** Multiple individuals → 1 controller → multiple utility payments
- **NPO/TF:** Rapid cash withdrawal far from HQ
- **Correspondent:** Undisclosed nested transactions
- **DeFi:** 68% governance token control, ability to upgrade code
- **Sanctions:** Fuzzy name matching required
- **Casino:** Large cash buy-in, minimal gaming, cash-out check
- **Real Estate:** Recently formed LLC, IOLTA wire, refuses UBO disclosure

Exam Day Reminders for Domain A

- **Domain A is 30% of the exam** - largest single domain
- FATF Recommendations, PEPs, TBML, correspondent banking heavily tested
- **Select Two/Three/Four questions** = get ALL correct for credit
- Read scenarios carefully - facts matter
- Distinguish between ML and TF
- Know placement, layering, integration stages
- SARs filed on reasonable suspicion, not conclusive proof
- De-risking (blanket termination) is NOT preferred
- OSINT/adverse media does NOT require conviction

Good luck on your CAMS exam!